

PREPARED FOR: TREVOR KNIGHT, GMD · FOR DISCUSSION WITH MAYOR STEFAN ROOTS

M4CleanTech LLC

Land Control & Phased Finance Strategy

A two-phase clean industrial development plan for the City of Chester waterfront — built on a City ground lease, a Klean/KBR BOO operating agreement, and a path to M4CleanTech-owned Ecolomondo facility ownership by Year 3. No personal equity required.

Merge 4 Design LLC · M4Di™ · Merge4Ward LLC · MaxWellness Model · M4CleanTech LLC

\$0 Personal equity required — ground lease structure removes acquisition capital entirely	40–99yr City/DCIDA ground lease term to M4CleanTech — foundation of the entire structure	20–25yr Klean/KBR BOO sublease — co-terminus with operating period; M4CleanTech pockets the spread	Yr 2–4 Target window for Ecolomondo Phase 2 facility financing using Phase 1 track record
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SECTION 1 — THE LAND CONTROL STRUCTURE

City/DCIDA → M4CleanTech → Klean/KBR: How the Stack Works

M4CleanTech does not need to purchase land to control it. The structure below gives M4CleanTech a long-term ground position — sufficient to sublease to an industrial operator, attract grant capital, and build an equity stake — without acquisition capital or personal guarantees.

TIER 1 — LAND OWNER	TIER 2 — GROUND LESSEE	TIER 3 — SUBLESSEE / OPERATOR
City of Chester / DCIDA Retains fee simple ownership of the parcel throughout. City never relinquishes land. Politically clean for Mayor Roots — land stays public. Ground lease term: 40–99 years Nominal or below-market rent to M4CleanTech	M4CleanTech LLC Holds the ground lease. Develops the site. Procures grants. Manages community benefit. Subleases to the BOO operator and pockets the spread between what it pays the City and what Klean/KBR pays M4CleanTech. Revenue: ground lease spread + developer fee + retained equity	Klean Industries / KBR (TyreNova BOO) Builds, owns, and operates the TyreNova pyrolysis facility on the subleased parcel. Funds 100% of facility construction. Pays ground rent to M4CleanTech. Bears all operating risk. BOO sublease: 20–25 years co-terminus with operating agreement
<i>Chester keeps control. EJ narrative strengthened. No City appropriation.</i>	<i>No acquisition capital. No personal guarantee. Ground lease spread is M4CleanTech's first revenue stream.</i>	<i>Klean/KBR capitalizes the facility entirely. M4CleanTech risk: site development costs only.</i>

WHY THIS WORKS FOR MAYOR ROOTS

The City does not sell land, write checks, or guarantee debt. It grants a long-term ground lease to a community-benefit-locked development entity. That single action unlocks \$10M+ in outside capital — federal grants, BOO operator equity, and CDFI debt — flowing into Chester. The Mayor's ask is land control, not cash.

SECTION 2 — M4CLEANTECH REVENUE: WHAT THE SPREAD LOOKS LIKE**Ground Lease Spread + Developer Fee + Equity Retention**

M4CleanTech generates revenue from three sources in this structure. None require facility operations — all flow from the ground lease position and developer role.

REVENUE STREAM	DESCRIPTION	ROM AMOUNT	TIMING
Ground Lease Spread	M4CleanTech pays City nominal rent (\$1–\$5K/yr). Klean/KBR pays M4CleanTech market ground rent for an industrial site in Chester (\$50K–\$120K/yr). M4CleanTech pockets the spread.	\$45K–\$119K/yr	From lease execution — Year 1 of operations
Developer Fee	M4CleanTech bills Klean/KBR for site development services (permitting support, grant procurement, community relations) under a Predevelopment Services Agreement. Recoverable at BOO financial close.	\$360K–\$600K (one-time)	At BOO financial close — covers predevelopment costs
Retained Equity Stake	Negotiated equity participation in the BOO facility at deal formation. Typically 5–15% for the site developer/ground lessor who procured the site, permits, and grant stack.	5–15% of facility value	Realized at refinancing or facility sale (Year 8–15)
Phase 2 Ecolomondo NOI	Once M4CleanTech owns and operates the Ecolomondo facility, full NOI flows to M4CleanTech (after debt service). This is the long-term wealth-building vehicle.	\$1.5M–\$2.9M/yr	Year 3–5 onwards (Phase 2 operational)

All ROM figures ±30–40% confidence. Not funded commitments. Ground lease spread depends on negotiated terms with City/DCIDA and Klean/KBR. Developer fee subject to PSA negotiation.

SECTION 3 — THE TWO-PHASE BUILDOUT

Phase 1 Builds the Track Record. Phase 2 Builds the Wealth.

The strategic logic: Ecolomondo sells turnkey equipment — they are not a BOO operator. Klean/KBR is explicitly structured for BOO deployment. Matching the right structure to the right partner at each phase eliminates the capital barrier at Phase 1 and creates the underwriting package that finances Phase 2 without personal equity.

NOW — YEAR 1 Site Control & BOO Agreement <i>Ground lease + Klean/KBR executed</i> Exclusive Development Agreement with City/DCIDA on waterfront parcel. Ground lease negotiated. Klean/KBR BOO sublease executed. EPA Brownfields + EDA EAA grants filed. PA DEP pre-application meeting completed. Developer fee agreement signed.	YEAR 1 — YEAR 3 Phase 1: Klean/KBR BOO Operating <i>Track record accumulating</i> TyreNova facility operational. M4CleanTech collecting ground lease spread. Operating data — tonnage, tipping fees, product yields — building the Phase 2 underwriting package. Feedstock contracts converting from LOIs to executed agreements with performance history.	YEAR 2 — YEAR 4 Phase 2: Ecolomondo Finance & Build <i>M4CleanTech-owned facility</i> 12–24 months of Phase 1 operating data unlocks CDFI senior debt. PA DEP permit precedent on site. Ecolomondo vendor financing negotiated on equipment. PA RACP second-round grant filed. Construction commences on adjacent parcel (secured via right of first refusal in Phase 1 ground lease).	YEAR 4+ Dual Facility Operations <i>Two revenue streams + equity</i> M4CleanTech operating Ecolomondo facility (owned). Ground lease spread from Klean/KBR continuing. \$1.5M–\$2.9M NOI from Ecolomondo facility after debt service. Chester becomes a genuine clean industrial district — two facilities, two waste streams, one site.
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SECTION 4 — PHASE 2 FINANCE STACK: ECOLOMONDO OWNED FACILITY

What the Lender Package Looks Like at Year 2–3

With Phase 1 operating data in hand, the Ecolomondo facility financing conversation is fundamentally different from a cold start. M4CleanTech arrives at the lender table as an operating company with revenue history, a permitted site, executed feedstock contracts, and a proven grant procurement track record. That is a bankable package.

TRANCHE	SOURCE & RATIONALE	ROM AMOUNT	COST	STRUCTURE
Senior Debt — CDFI / Mission Bank	Reinvestment Fund, Amalgamated Bank, Beneficial State Bank. Phase 1 operating	\$5M–\$7M	5–7%	15–20 yr amortization

TRANCHE	SOURCE & RATIONALE	ROM AMOUNT	COST	STRUCTURE
	data + PA DEP permit + executed feedstock contracts = bankable cash flow projection.			
Subordinate / Gap — Grants (Rd. 2)	EDA EAA second application, PA RACP second round. M4CleanTech's prior grant track record from Phase 1 significantly strengthens competitiveness.	\$2M–\$3M	0% (grant)	Non-dilutive, non-recourse
Ecolomondo Vendor Financing	Equipment manufacturers often carry a note on their own hardware to close US flagship deployments. Ecolomondo's incentive to get a US reference site is strong — vendor financing is a negotiating point at LOI stage.	\$2M–\$3M	Negotiated (est. 4–6%)	Secured on equipment
M4CleanTech Equity	Ground lease spread (3 yrs) + developer fee from Phase 1 provides equity contribution without personal capital injection.	\$500K–\$1M	0% (own capital)	From Phase 1 cash flow
TOTAL	Full facility financed. M4CleanTech retains 100% ownership of Ecolomondo facility.	\$9.5M–\$14M	Blended ~4–5%	No personal equity required

ROM ±30–40%. Actual terms subject to lender underwriting and market conditions at time of application. CDFI senior debt requires 1.20× minimum DSCR on projected NOI — Phase 1 operating data is the key underwriting input.

SECTION 5 — WHAT TO DISCUSS WITH MAYOR ROOTS: THE PARCEL CONVERSATION

The Ask is Land Control — Not a Budget Line Item

M4CleanTech does not need the City to spend money. The ask is a ground lease on a parcel the City already controls — turning a vacant or underutilized site into a revenue-generating, job-creating clean industrial anchor without public expenditure. The Mayor's role is to identify the parcel and authorize DCIDA to negotiate the ground lease terms.

POTENTIAL PARCEL TYPES TO RAISE

PARCEL TYPE	DESCRIPTION	PRIORITY	NEXT STEP
Reworld Waterfront Site	15–30+ acres as Reworld contracts unwind. Prime candidate — industrial-zoned, waterfront, existing utility infrastructure, brownfield grant-eligible. Timeline: 2027–2028 as contracts expire.	Primary Target	Request Exclusive Development Agreement now, before site is marketed
DCIDA-Controlled Industrial Parcels	DCIDA holds or controls several parcels in Chester's industrial corridor. May have sites suitable for Phase 1 BOO facility that can be activated faster than the Reworld site.	Phase 1 Fallback	Request DCIDA parcel inventory meeting — identify 3–5 acre minimum site for TyreNova Phase 1
City-Owned Vacant Industrial Land	Chester has accumulated tax-delinquent and foreclosed industrial properties. City may hold suitable parcels that could be conveyed by ground lease without Orphan's Court proceedings.	Opportunistic	Request list of City-held industrial parcels from City Solicitor / Finance Director

KEY NEGOTIATING POINT: LOCK IN THE RIGHT OF FIRST REFUSAL NOW

When M4CleanTech signs the Phase 1 ground lease with the City/DCIDA, the **ground lease must include a Right of First Refusal on adjacent parcels** — specifically any waterfront acreage released by the Reworld closure. This costs nothing to negotiate at Phase 1 but could be worth tens of millions at Year 3 when the Ecolomondo Phase 2 site is needed. Trevor should raise this explicitly with Mayor Roots and DCIDA as a ground lease term, not an afterthought.

SECTION 6 — WHAT WE ARE ASKING MAYOR ROOTS TO AUTHORIZE

Three Authorizations. No Budget Required. Each Opens the Next Stage.

Authorization 1 — Exclusive Development Agreement on Reworld Waterfront Parcel

Direct DCIDA to negotiate an Exclusive Development Agreement (EDA) with M4CleanTech on the Reworld waterfront parcel — giving M4CleanTech the exclusive right to develop a clean industrial facility on that site for 18–24 months pending Reworld's departure. Cost to City: zero. Effect: positions M4CleanTech ahead of any competing developer before the site is publicly marketed. Trevor should request this as a mayoral directive to DCIDA, not a public RFP.

Authorization 2 — DCIDA Parcel Inventory Meeting for Phase 1 Site

Request an introduction to DCIDA's real estate team to review available industrial parcels suitable for Phase 1 TyreNova BOO facility (minimum 3–5 acres, industrial zoning, utility access). The goal is to identify a Phase 1 site that can be activated in 2026–2027 while the Reworld waterfront site is still being cleared. Mayor Roots' facilitation of this introduction compresses 6–12 months of cold outreach.

A letter of support from Mayor Roots for M4CleanTech's outreach to Klean Industries/KBR and Ecolomondo Corporation positioning Chester as the site for a U.S. flagship clean industrial deployment. The Mayor's endorsement transforms a cold technology partnership inquiry into a City-sponsored conversation — dramatically improving response rate and deal terms. Trevor is authorized to present this letter in introductory meetings on the Mayor's behalf.

PREPARED BY & CONTACT

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All ROM investment and revenue figures are preliminary estimates with ± 30 –40% confidence range. Not guaranteed, not funded commitments, and not GMP. Produced for concept-level conversation and to frame the scope of M4Di predevelopment engagement. Ground lease terms, developer fee structure, equity participation, and BOO sublease economics require negotiation with the City/DCIDA, Klean/KBR, and legal counsel before execution. Ecolomondo Phase 2 facility financing is contingent on Phase 1 operating track record and lender underwriting at time of application. Pennsylvania regulatory compliance (PA DEP, PA DCED, PHFA) requires PA-licensed counsel. Brownfield site remediation requires Phase I/II ESA before any development commitment.